



Quarterly Point of View Higher for Longer & Return of Equity Duration

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For much of the post-financial-crisis era, investors could reasonably assume that subdued inflation and central-bank accommodation would keep long-term interest rates low. That backdrop rewarded assets whose value depended heavily on profits expected far into the future. Today, the underlying math looks different. Inflation remains elevated, the economy is near full employment, federal deficits are unusually large for a non-recessionary period, and Treasury bond issuance must compete with growing private-sector demand for capital. Together, these forces make a prolonged return to the old, low-rate regime, much less likely.

This does not mean interest rates will rise without interruption. Economic slowdowns, periods of market stress and eventual Federal Reserve rate cuts can still push bond yields lower for a time. The more important point is that long-term rates may settle at higher levels than investors became accustomed to after 2008. If so, the next market phase is likely to favor companies that produce and return meaningful cash today, rather than companies whose value depends predominantly on profits expected many years from now.

Apollo Chief Economist Torsten Slok frames our country's fiscal problem in direct terms. Since 2006, U.S. gross federal debt has increased by roughly \$32 trillion, while nominal GDP has increased by about \$19 trillion. Federal debt held by the public has risen from below 40% of GDP - to roughly 100% - and current-policy projections show it continuing toward 175% of GDP. Meanwhile, budget deficits are running near 6% of GDP and are projected to remain near 5% - levels normally associated with recession, not full employment.¹

That mismatch matters because investors must absorb a growing amount of government debt while the government's interest bill is also rising. Net federal interest expense is expected to exceed \$1.1 trillion in the current fiscal year. Without a believable plan to narrow the deficit, investors may demand higher yields to compensate for inflation, fiscal uncertainty and the expanding supply of Treasury debt. As a result, long-term rates could remain elevated even if the Federal Reserve eventually cuts short-term rates.

Government borrowing is not the only factor placing upward pressure on interest rates. Large technology companies are also raising significant amounts of debt to fund investments in artificial intelligence, including data centers, energy infrastructure and advanced manufacturing. These projects may support future growth, but they also add to the overall demand for financing. With both the public and private sectors competing for capital, borrowing costs are likely to remain higher than they were during the years of exceptionally low interest rates.

The connection to stocks begins with a simple idea: money received sooner is worth more than money received further in the future. When interest rates rise, the market places a lower value on profits that may not arrive for many years. As a result, companies whose valuations depend heavily on future growth, expanding profit margins or continued investor willingness to pay high prices can be especially sensitive to higher rates.

By contrast, a company that generates strong cash flow today and returns a portion of it through dividends gives shareholders part of their return along the way. Investors are less dependent on distant forecasts or on someone paying a higher valuation for the stock in the future. This difference matters more when cash and bonds once again offer meaningful yields and stocks must compete harder for investor capital.

This does not mean every high-yield stock is attractive, or that growth no longer matters. An unusually high dividend can be a sign of warning when it is supported by too much debt, weak cash flow or a declining business. The more attractive profile combines current income with business quality: steady profits, a sound balance sheet, sensible capital allocation, pricing power and the ability to raise the dividend over time. The goal is not the highest possible yield. It is a reliable share of cash generated by a durable business.

Markets rarely move in neat cycles, and some dividend-paying sectors can struggle when rates rise quickly, which was evident when breaking down September's market performance. Utilities, real estate companies and other more indebted income investments may face higher borrowing costs even though they pay dividends. The real dividing line is not simply a dividend payer versus non-payer. It is a company that can fund shareholder returns from current cash flow versus one that depends on cheap financing and profits that may be far in the future.

If long-term rates remain structurally higher, the price investors pay for a stock should matter more. Companies that can fund their operations, reinvest in the business and pay dividends from recurring cash flow will be better positioned than businesses that require cheap capital and nearly perfect execution for many years. Dividends can also provide a tangible part of an investor's return when stock valuations are not rising, while dividend growth can help offset the effects of inflation.

The larger lesson is one of investment durability. Capital compounds only if it survives the journey. In a period of heavy government borrowing, strong competition for capital and less willingness to pay today for distant promises, investors may benefit from shortening that journey. Quality dividend strategies emphasize what a business earns now, what it can distribute now, and whether both can endure. Higher-for-longer rates would not guarantee their outperformance, but they would restore an advantage that the near-zero-rate era often overshadowed: current cash flow matters and receiving part of the return today has real value.

It is a sincere privilege serving those that have entrusted us with their capital.

Respectfully,



Cameron K Martin
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Statistical and analytical data provided by FactSet.

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[1] Torsten Slok, "Rates Will Stay Higher for Longer," The Daily Spark, Apollo Global Management, August 26, 2026.